8. Income Taxes

Our Company applies FASB ASC topic 740, "*Income Taxes*" or ASC 740 which addresses the determination of whether tax benefits claimed, or expected to be claimed on a tax return should be recorded in the financial statements. Under ASC 740, our Company may recognize the tax benefit from an uncertain tax position only if it is more likely than not that the tax position will be sustained on examination by the taxing authorities, based on the technical merits of the position. The tax benefits recognized in the financial statements from such a position should be measured based on the largest benefit that has a greater than fifty percent likelihood of being realized upon ultimate settlement. ASC 740 also provides guidance on derecognition, classification, interest and penalties on income taxes, accounting in interim periods and requires increased disclosures.

Our Company recognizes interest and penalties related to uncertain tax positions in income tax expense. Changes in unrecognized benefits in any given year are recorded as a component of deferred tax expense. Interest accrued on unrecognized tax benefits at December 29, 2012 was $522. At December 29, 2012 and December 31, 2011, there were $3,123 and $3,118 of unrecognized tax benefits that if recognized would affect the annual effective tax rate.

A reconciliation of the total gross amount of unrecognized tax benefits at December 29, 2012 and December 31, 2011 is as follows:

	2012	2011
Beginning balance	$3,357	$3,258
Additions for tax positions of the current year	—	—
Additions for tax positions of the prior year	17	99
Ending balance	$3,374	$3,357

Our Company is generally subject to tax examination for a period of three years after tax returns are filed. Therefore, the statute of limitations remains open for tax years 2009 and forward. However, when a company has net operating loss carryovers, those tax years remain open until three years after the net operating losses are utilized. Therefore, the tax years for Bell Sports, Inc. remain open back to 2001. The tax years for Riddell remain open back to 2004.

Income tax expense (benefit) consisted of the following for December 29, 2012, December 31, 2011 and January 1, 2011:

	2012	2011	2010
Current tax expense (benefit):			
Federal	$ (415)	$ 413	$ (929)
State	1,228	1,560	785
Foreign	1,576	627	2,582
	2,389	2,600	2,438
Deferred tax expense (benefit):			
Federal	1,454	6,215	2,898
State	(490)	934	593
Foreign	(251)	(52)	706
	713	7,097	4,197
Income tax expense	$3,102	$9,697	$6,635

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A reconciliation of income taxes computed at the United States federal statutory income tax rate (35%) to the provision for income taxes reflected in the Consolidated Statements of Operations and Comprehensive Income for the years ended December 29, 2012, December 31, 2011 and January 1, 2011 is as follows:

	2012	2011	2010
Provision for income taxes at United States federal statutory rate of 35%	$ (111)	$6,904	$ 5,167
State and local income taxes, net of federal income tax effect	402	1,631	803
Taxes on foreign income which differ from the United States statutory rate	1,290	(339)	(137)
Non-deductible equity compensation expense	1,767	1,227	1,202
Tax effect of other permanent items	(860)	56	372
Unrecognized tax benefits activity	5	29	544
Change in valuation allowance	160	660	—
Other	449	(471)	(1,316)
	$3,102	$9,697	$ 6,635

Deferred tax assets and liabilities are determined based on the differences between the financial reporting and tax bases of assets and liabilities. The significant components of deferred income tax assets and liabilities consist of the following at December 29, 2012 and December 31, 2011:

	2012	2011
Deferred income tax assets:		
Receivable reserves	$ 3,518	$ 3,313
Inventory	6,803	4,736
Accrued expenses and reserves	12,122	13,881
Net operating loss carryforwards	29,596	31,821
Other	5,526	3,036
Total deferred tax assets	57,565	56,787
Deferred income tax liabilities:		
Property, plant and equipment	6,873	7,263
Intangible assets	85,208	83,481
Total deferred tax liabilities	92,081	90,744
Valuation allowance	(7,333)	(7,173)
Total net deferred income tax liability	$(41,849)	$(41,130)

At December 29, 2012, our Company had estimated net operating loss carryforwards available for U.S. federal income tax purposes of approximately $75,012. Based on Internal Revenue Code Section 382 relating to changes in ownership of our Company, utilization of the net operating loss carryforwards is limited to $56,466, which is the primary reason for a valuation allowance of $6,513. These net operating loss carryforwards will begin to expire in 2021 through 2029. The additional valuation allowance established in the current year, of $160, relates to net operating losses and capital loss carryforwards in foreign jurisdictions, including Canada and Sweden, resulting in a total valuation allowance of $820 for these jurisdictions.

Our Company files a U.S. federal income tax return as a member of a U.S. consolidated group with EB Sports as the common parent. We record our provision for income taxes on a separate return basis which excludes any impact of EB Sports. As a result of filing our tax returns on a consolidated basis with EB Sports, there are additional net operating loss carryforwards that would be available to offset future income of our Company and EB Sports. To the extent these net operating losses are utilized to offset future income of our Company, a tax sharing agreement would be entered into providing that the tax benefit received by our Company ascribed to those net operating losses be recorded as either a payable to EB Sports or a contribution of capital by EB Sports to our Company.

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(Loss) income before income taxes, consisted of the following:

	2012	2011	2010
Domestic	$(3,106)	$16,475	$ 6,525
Foreign	2,788	3,250	8,236
(Loss) income before income taxes	$ (318)	$19,725	$14,761

Our Company has cumulative undistributed earnings of non-U.S. subsidiaries of $14,857 for which U.S. taxes have not been provided. These earnings are intended to be permanently reinvested outside the U.S. If future events necessitate that these earnings should be repatriated to the U.S., an additional tax expense and related liability of $6,186 may be required.

Cash paid for income taxes was $2,066, $3,465 and $3,362 for 2012, 2011 and 2010, respectively.